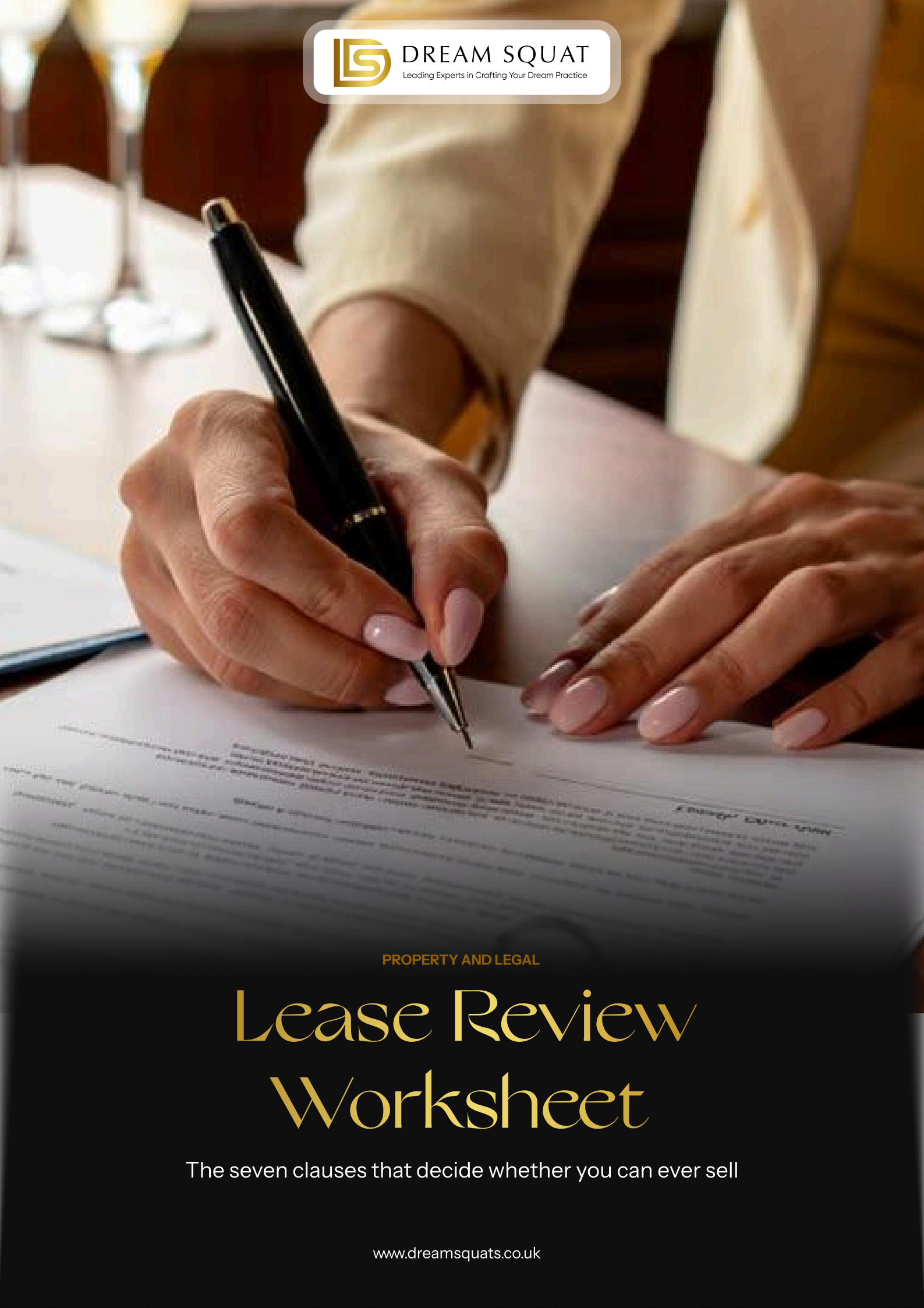




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PROPERTY AND LEGAL

Lease Review Worksheet

The seven clauses that decide whether you can ever sell

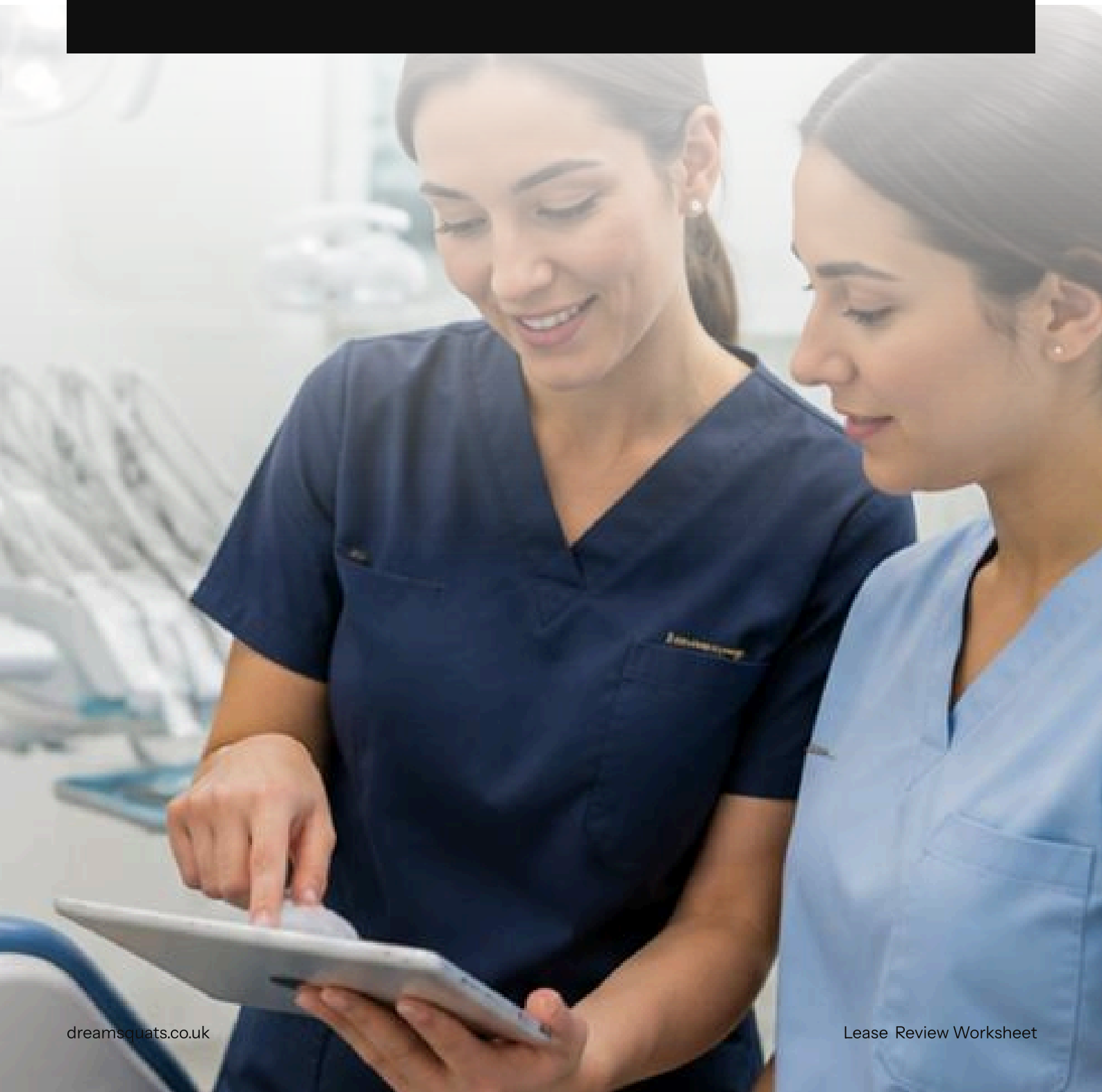
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Your lease is the most valuable document in your practice, and most dentists spend less time on it than they spend choosing a chair. Work through this before you sign, because every clause here costs nothing to negotiate at heads of terms stage and a fortune to fix afterwards.

HOW TO USE THIS WORKSHEET

- ✓ Complete this with the draft lease in front of you, before your solicitor starts drafting.
- ✓ For each clause, write what your lease actually says, then mark it acceptable, negotiate or deal breaker.
- ✓ Take the completed worksheet to your solicitor. It tells them exactly what to fight for.
- ✓ Score yourself at the end. Any deal breaker means you walk away or you renegotiate. There is no third option





BEFORE YOU BEGIN

The rule this whole worksheet rests on

Every clause in this document costs nothing to negotiate at heads of terms stage, when the landlord wants a tenant and you have not yet committed. Every one of them costs a fortune to fix afterwards, when you have spent three hundred thousand pounds fitting out a building you do not own.

So the work happens before you sign, or it does not happen.

SABA'S NOTE

I have negotiated three of these and sold a practice at the end of one of them. The clause that nearly cost me the sale was not the rent. It was alienation, which is the clause that decides whether you can pass the lease to a buyer. Seven words in that clause are worth more than every rent concession you will ever win.

Deal summary	
Unit address	
Landlord	
Agent	
Size (sq ft)	
Quoting rent (per annum)	
Service charge (per annum)	
Business rates (per annum)	
Rent free period offered	
Landlord contribution to fit-out	
Date reviewed	



SECTION ONE

The seven clauses

Work through each one with the draft lease open. Do not skip any because it looks administrative. The administrative looking ones are the expensive ones.

1. Term length

Why it matters. You are about to spend several hundred thousand pounds fitting out a building you do not own. A short term does not give you long enough to earn that back, and it means you renegotiate from total weakness because the landlord knows your surgeries cannot move.

What to push for	Fifteen years minimum, ideally twenty, with tenant only break options. A buyer will want at least ten years remaining, so a fifteen year term already limits your comfortable selling window to the first five.
Red flag	Anything under ten years. A five year term on a squat fit-out is close to unfundable.
What your lease says	
Position	Acceptable / Negotiate / Deal breaker (circle one)
Action and owner	

2. The break clause, and whose it is

Why it matters. A landlord break clause is a loaded gun pointed at your business. If the landlord can end your lease at year seven, your practice is effectively unsaleable from around year five, because no buyer will take on that risk.

What to push for	Tenant only breaks. If the landlord insists on a mutual break, treat that as a serious problem and be prepared to walk away from the site.
Red flag	Any landlord or mutual break clause. Also check the conditions attached to your own break, since a break conditional on absolute compliance with every covenant is often impossible to exercise.
What your lease says	
Position	Acceptable / Negotiate / Deal breaker (circle one)
Action and owner	



3. Security of tenure

Why it matters. The Landlord and Tenant Act 1954 gives business tenants the right to renew. Many commercial leases ask you to contract out of it. If you do, when the term ends the landlord can simply take the building back, including your fit-out.

What to push for	Do not contract out. If you have to, understand exactly what you are giving up and price the site accordingly.
Red flag	A contracted out lease combined with a short term. That combination means you could lose everything you built at the end of the term.
What your lease says	
Position	Acceptable / Negotiate / Deal breaker (circle one)
Action and owner	

4. Repairing obligations

Why it matters. Full repairing and insuring sounds administrative. In practice it means you are responsible for the entire building condition, and at the end of the lease you may face a dilapidations claim to restore it to a state it was arguably never in.

What to push for	A schedule of condition, photographed and attached to the lease, agreed before you sign. It caps your obligation at the state the building was in when you took it.
Red flag	FRI terms with no schedule of condition, especially on an older building. This is the single most common expensive mistake on this list.
What your lease says	
Position	Acceptable / Negotiate / Deal breaker (circle one)
Action and owner	



5. Rent review mechanism

Why it matters. Upward only open market reviews mean your rent can rise and can never fall, regardless of what happens to the local market. Over a twenty year term that compounds into a serious number.

What to push for	Index linked reviews with a cap and collar are far more predictable. Failing that, negotiate a cap on any single increase.
Red flag	Upward only, open market, five yearly, with no cap. Model what that does to your P and L at year ten before you accept it.
What your lease says	
Position	Acceptable / Negotiate / Deal breaker (circle one)
Action and owner	

6. Permitted use and alienation

These two clauses together decide whether you can ever sell. If permitted use is drafted too narrowly, or assignment requires landlord consent with no obligation to be reasonable, your exit depends entirely on a landlord mood in five years.

What to push for	Permitted use broad enough to cover any dental or healthcare use. Assignment subject to consent not to be unreasonably withheld or delayed. Those seven words are worth a lot of money.
Red flag	Absolute prohibition on assignment or underletting. Or a permitted use limited to one named specialty.
What your lease says	
Position	Acceptable / Negotiate / Deal breaker (circle one)
Action and owner	



7. The personal guarantee

Why it matters. Most landlords will ask for one from a new company with no trading history. It means that if the practice fails, the lease follows you personally for the full term.

What to push for	A cap, either in value or duration. A guarantee that falls away after three years of clean payment history, or is capped at twelve months rent, is a completely different risk to an uncapped one running twenty years.
Red flag	An uncapped personal guarantee for the full term. This can follow you for two decades.
What your lease says	
Position	Acceptable / Negotiate / Deal breaker (circle one)
Action and owner	





SECTION TWO

The landlord question bank

Ask all twenty before you commit. The answers you cannot get are as informative as the ones you can.

	Question	Answer
1	Who is the landlord, and are they an individual, a company or a fund?	
2	How long have they owned the building, and do they intend to sell it?	
3	Why did the previous tenant leave?	
4	How long has the unit been empty?	
5	Is there any planning restriction on use as a dental practice?	
6	Will they consent to change of use, and who pays for the application?	
7	What is the current use class, and does it need to change?	
8	What signage will they permit, internal and external?	
9	Is there a service charge, and what is the last three years of actuals?	
10	Is there a service charge cap?	
11	Who is responsible for the roof, structure and external walls?	
12	What is the electrical supply capacity, and is three phase available?	
13	What are the drainage and waste arrangements?	



	Question	Answer
14	Is there dedicated or permit parking, and for how many vehicles?	
15	What is the disabled access position, and who pays to improve it?	
16	Will they contribute to the fit-out, and how much?	
17	What rent free period is available, and what do they want in return?	
18	Will they agree a schedule of condition?	
19	Will they consider a tenant only break, and at which year?	
20	Is a personal guarantee required, and will they cap it?	



**SECTION THREE****Heads of terms: your position**

Write your opening position before the agent writes theirs. Heads of terms are not binding, which is exactly why they matter: everything agreed here becomes the starting point your solicitor works from.

Term	Their opening	Your position	Agreed
Rent per annum			
Rent free period			
Term length			
Break option and year			
Rent review basis and frequency			
Service charge cap			
Repairing obligation			
Schedule of condition			
Permitted use wording			
Assignment and underletting			
Landlord fit-out contribution			
Personal guarantee and cap			
Security of tenure			
Rates liability during fit-out			
Target completion date			

SABA'S NOTE

Negotiate the non-financial terms hardest. Agents are trained to defend the headline rent because that is what they are measured on, and they will often concede on term length, break options, schedule of condition and assignment wording to protect it. Those concessions are worth far more to you than a few thousand pounds a year on rent.



SECTION FOUR

Your decision

Score the lease

Clause	Acceptable	Negotiate	Breaker
1. Term length			
2. Break clause			
3. Security of tenure			
4. Repairing obligations			
5. Rent review			
6. Permitted use and alienation			
7. Personal guarantee			

Any deal breaker:

renegotiate it or walk away. Do not proceed on the assumption you will fix it later. You will not.

Instructions to my solicitor

Write the three things you want your solicitor to fight hardest for. Send them this worksheet with it.



You have the worksheet. Now get the rest.



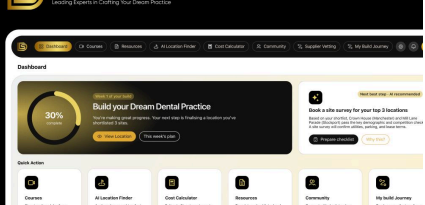
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